

Application of Private International Law in a Dispute

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PRIVATE INTERNATIONAL LAW: SCOPES

When a foreign element is involved in a dispute, decision must be given applying private international law rules regarding the following issues:

- Jurisdiction
- Choice of Law (in the situation of conflict of laws)
- Recognition and enforcement of foreign judgments

Note: It is not necessarily all the pattern are relevant in one single dispute

2. JURISDICTION

SITUATION

- A Nepali dies in Australia, leaving a home he owned there, and his wife, who has been living in Nepal, want to claim that property as his successor along with the property situated in Nepal, where should the case be initiated?

SITUATION...

- A commercial contract was entered by and between a Nepali and Chinese business persons in Singapore to supply goods, manufactured in Korea, to Tokyo, where an action may be filed in the following situations:
 - After receiving advance payment, the Chinese returned to Shanghai and never tried to fulfil contractual obligation;
 - The goods were reached to Tokyo but a dispute arises as to the manufacturing defect; or
 - The Hong Kong registered ship carrying the goods was crashed at the coast of Japan and the goods were damaged.

QUESTION OF JURISDICTION & RULES

QUESTION OF JURISDICTION ARISES IN TWO STAGES:

Stage 1, at the time of filing a case: direct jurisdiction

Stage 2, at the time of enforcement: indirect J...

GENERAL RULES

1. *In rem* jurisdiction - territorial
2. *In personam* jurisdiction – domicile/habitual residence; in other case:
 - *Submission to the jurisdiction*

FORUM AND RELATED TOPIC

1. Meaning of forum
2. Forum shopping
3. Doctrine of forum non conveniens

2. CHOICE OF LAW

SITUATION

- A Norwegian woman who married a Nepali, died in Nepal leaving a will in favour of her son of previous Norwegian husband, covering the properties situated both in Nepal and Norway. The will is valid in Norway but invalid in Nepal, how to determine the dispute?
- A boy married another boy in The Netherlands, and the one sought a dependent visa in Hong Kong where same sex marriage is not allowed, the case approach to the court.
- A Nepali died leaving property in Germany, under the law of which it must be divided between wife and children but under Nepali legal system all the property goes to the wife.

TECHNIQUES FOR SELECTING RIGHT LAWS

1. Classification of Cause of Action

- What is the actual dispute about? (the main characteristics of the case)

For example: whether the dispute is related to contract or to succession

2. Connecting factors: *a link between the governing law and an event, an object or a person in question*

- Personal connecting factors: *habitual residence/domicile/nationality*
- Casual connecting factors: *territory where property is situated/where an accident occurred/ where marriage was taken place/where contract was created*

FORMULA TO CONNECT RIGHT LEGAL SYSTEM

- *lex loci contractus*
- *lex loci actus*
- *lex loci celebrationis*
- *lex incorporationis*
- *lex loci delicti commiss*
- *lex situs*
- *Lex domicilii*
- *Lex patreae*

3. FOREIGN JUDGMENTS

TWO SITUATIONS WHERE QUESTIONS ARISES

1. Actual case of recognition:

- Where winning parties seek to enforce award granted by foreign tribunal
- Recognition sought by losing party where same case is opened in local court by the same petitioner

2. Recognition as an incidental question

RULES OF RECOGNITION

For recognition, the judgment must be:

1. Enforceable in the court of origin
2. Final in the court of origin
3. Rendered by competent court

Therefore:

Merit cannot be tested in requested court (forum court)

RULES FOR NON-RECOGNITION

Recognition be refused if

1. Judgment was obtained fraudulently;
2. Judgment was rendered against natural law; and
3. If recognition would be against local public policy

REFERENCE

1. Instruments developed by the Hague Conference on Private International Law (HCCH) including:

- Choice of Court Convention 2005
- Judgment Convention 2019
- Choice of Law Principles in International Commercial Contract 2015

2. EU Regulations

3. Nepali Legislations:

The National Civil Code 2017, Part VI

The Mutual Legal Assistance Act 2014, Section 37